PRACTICE PROBLEMS

Problem 1

Your audit of the December 31, 2024, financial statements of DEF Co. reveals the following:

Current account at Prime Bank	P (30,000)
Current account at Prudent Bank	135,000
Treasury bills (acquired 3 months before maturity)	300,000
Treasury bills (maturity date is December 31, 2025)	1,500,000
Payroll account	390,000
Foreign bank account-restricted (translated using the December 31, 2024, exchange rate)	2,000,000
Postage stamps	1,250
Employee's postdated check	4,500
IOU from the vice-president	8,000
Credit memo from a supplier for a purchase return	8,100
Traveler's check	21,000
Money order	12,900
Petty cash fund (P 3,000 in currency and expense vouchers for P12, 000)	15,000

What amount would be reported as "cash and cash equivalents" in the statement of financial position on December 31, 2024?

a. P840,050 b. P873,900 c. P849,400 d. P861,900

Problem 2

In connection with your audit of the financial statements of DEF Co. for the year ended December 31, 2024, you gathered the following information.

- The company maintains its current account with BDO Bank. The bank statement on December 31, 2024 showed a balance of P 638,340.
  - A check for P 22,500 received from a customer whose account is current had been deposited and then returned by the bank on December 28, 2024. No entry was made for the return of this check. The customer replaced the check on January 15, 2025.
  - A check for P 5,720 was cleared by the bank as P 7,520. The bank made the correction on January 2, 2025.
  - A check for P 3,500 representing payment of an employee advance was received and deposited on December 27, 2024, but was not recorded until January 3, 2025.
  - Post-dated checks totaling P 67,300 were included in the deposits in transit. These represent collections of current accounts receivable from customers. The checks were actually deposited on January 5, 2025.
  - Various debit memos for drafts purchased for payment of importation of equipment totaling P 230,000 were not yet recorded. These purchases were previously set up as accounts payable. Said equipment arrived in December 2024.
  - Interest earned on the bank balance for the 4th quarter of 2024, amounting to P 1,950 was not recorded.
  - Bank service charges totaling P 1,260 were not recorded.
  - Deposit in transit and outstanding checks at December 31, 2024 totaled P136,250 and P276,380 respectively.
- Various expenses from the company's imprest petty cash fund dated December 2024 totaled P16,250, while those dated January 2025 amounted to P 5,903. Another disbursement from the fund dated December 2024 was a cash advance to an employee amounting to P 3,500. A replenishment of the petty cash fund made on January 8, 2025.

- The company's trial balance on December 31, 2024 includes the following accounts:

Cash in bank - BDO Bank	748,320
Cash in bank - MBTC Bank (restricted account for plant expansion, expected to be disbursed in 2025)	700,000
Petty cash fund	30,000
Time deposit, placed December 20, 2023, and due March 20, 2025	1,000,000
Money market placement - Philtrust Bank	4,000,000

1. What is the adjusted petty cash fund balance on December 31, 2024?
   a. 4,347 b. 10,250 c. 3,500 d. 24,097
2. The petty cash shortage on December 31, 2024 is
   a. Zero b. 5,903 c. 3,500 d. 4,347
3. What is the adjusted Cash in Bank – BDO Bank balance on December 31, 2024?
   a. 500,010 b. 748,320 c. 432,710 d. 429,110
4. The entry to adjust the Cash in Bank – BDO Bank account should include a debit to
   a. Accounts receivable for 89,800 c. Accounts receivable for 86,300
   b. Accounts payable for 228,200 d. Interest expense for 1,950

Problem 3

The bookkeeper-cashier of the DEF Co. absconded on the evening of April 16, 2024, apparently with a large portion of the company's cash. He had taken with him certain accounting records, including the cash journals and the general ledger. You are called upon to ascertain, if possible, the shortage with which the missing employee may be charged.

A statement of financial position prepared from the books and other files follows:

DEF Co.
Statement of Financial Position
December 31, 2023
ASSETS

Cash		P 32,670
Accounts receivable		226,230
Inventory (at cost)		440,350
Furniture	P 74,560	
Less: Accumulated depreciation	31,800	42,760
Total assets		**P 742,010**

LIABILITIES AND SHAREHOLDER'S EQUITY

Accounts payable	P 114,720
Share capital	500,000
Retained earnings	127,290
Total liabilities and shareholder's equity	**P 742,010**

You obtain the following information from the available subsidiary journals, ledgers, and other data.

Balances at close of business, April 16, 2024

Account receivable	**P** 442,550
Accounts payable	207,300
Cash in bank, less checks outstanding	98,830

Transactions, January 1 - April 16, 2024

Sales, per receivable clerk	**P** 5,876,170

Sales allowances in customer's accounts	18,330
Cash purchase of furniture, per dealer's invoice	3,000
Total merchandise purchase	3,615,260
Expenses paid, supported by paid invoices and payrolls	1,865,830
Cash dividend declared, P 50,000 (of which P 10,000 remains unpaid)	40,000

Requirements:

1. What is the total amount paid for merchandise purchase?
   A. P 3,615,260 B. P 3,293,240 C. P 3,522,680 D. P 3,707,840
2. What is the total amount of collections from sales?
   A. P 5,641,520 B. P 5,659,850 C. P 6,074,160 D. P 6,092,490
3. What is the total amount of cash disbursement from January 1-April 16, 2024?
   A. P 5,524,090 B. P 5,202,070 C. P 5,431,510 D. P 5,432,510
4. What is the cashier's accountability (correct cash balance before shortage) on April 16, 2024?
   A. P 242,680 B. P 90,830 C. P 143,850 D. P 43,850
5. What is the amount of cash shortage?
   A. P 100,000 B. P 43,850 C. P 143,850 D. P 242,680

<u>Problem 4</u>

On December 1, DEF Co. establishes a petty cash account and designates Ms. Charlotta Garcia as petty cash custodian. The original amount included in the petty cash is P 10,000. The following disbursements are made from the fund in December:

Office supplies	3,460
Postage	2,240
Entertainment	840

There was no replenishment made in December and a physical count conducted at the end of the year revealed that there were P3,200 in the form of bills and coins inside the petty cash box.

1. The objective of establishing a petty cash fund is to
   a. Cash checks for employees
   b. Account for all cash receipts and disbursements
   c. Account for cash sales
   d. Facilitate payment of small, miscellaneous items
2. The amount of petty cash that should be reported as part of "cash and cash equivalents" in the December 31 statement of financial position is:
   a. 10,000 b. 3,460 c. 3,200 d. 2,940
3. The amount of petty cash shortage is:
   a. Zero b. 260 c. 320 d. 680
4. The person responsible, at all times, for the amount of petty cash fund is the
   a. Chairman of the Board of Directors
   b. President of the Company
   c. Petty cash custodian
   d. General cashier
5. The entry to replenish the fund is
   a.

Office Supplies Expense	3,460	
Postage Expense	2,240	
Entertainment Expense	840	
Cash		6,540

   b.

Office Supplies Expense	3,460	
Postage Expense	2,240	

	Entertainment Expense	840	
	Cash Over and Short	260	
	Cash		6,800
c.	Office Supplies Expense	3,460	
	Postage Expense	2,240	
	Entertainment Expense	840	
	Cash Over and Short	260	
	Petty Cash Fund	6,800	
d.	Office Supplies Expense	3,460	
	Postage Expense	2,240	
	Entertainment Expense	840	
	Petty Cash Fund	6,540	

6. What is the effect of not replenishing the petty cash at year-end and not making the appropriate adjusting entry?
   a. A detailed audit is essential
   b. The petty cash custodian should turn over the petty cash to the general cashier
   c. Cash will be overstated and expenses understated
   d. Expenses will be overstated and cash will be understated

Problem 5

The auditor for DEF Co. examined the petty cash fund immediately after the close of business, July 31, 2024 the end the company's natural business year. The petty cash custodian presented the following during the count:

Currency	P 1,650
Petty cash voucher:	
Postage	420
Office supplies expense	900
Transportation expense	340
Computer repairs	800
Advances to office staff	1,500
A check drawn by DEF Co. payable to the petty cash custodian	7,200
Postage stamps	300
An employee's check returned by bank, marked NSF	1,000
An envelope containing currency of P 1,890 for a gift for a retiring employee	1,890
	P 16,000

The general ledger shows an imprest petty cash fund balance of P 16,000

1. How much is the petty cash shortage or overage?
   b. P 2,190 overage c. P 1,890 shortage
   c. P 2,190 shortage d. P 1,890 overage
2. What is the adjusted balance of the petty cash fund at July 31, 2024
   a. P 10,740 b. P 3,540 c. P 7,200 d.P8,850

Problem 6

The DEF Co. had weak internal controls over its cash transaction. Facts about its cash position at November 30, 2024 were as follows:

The cash book showed a balance of P 94,508, which included undeposited receipts. A credit of P500 on the bank's records did not appear on the books of the company. The balance per bank statement was P77,750. Outstanding checks were no. 8420 for P 581, no. 8422 for P750, no. 8430 for P1,266, no. 8621 for P954, no. 8623 for P1,034 and no. 8632 for P726.

The cashier stole all undeposited receipts in excess of P 18,972 and prepared the following reconciliation

Balance per books, Nov.30, 2024		P 94,508
Add: Outstanding checks		
8621	P 954	
8623	1,034	
8632	726	2,214
		96,722
Less: Undeposited receipts		18,972
Balance per bank, Nov. 30, 2024		77,750
Less: Unrecorded credit		500
True cash, Nov. 30, 2024		**P 77,250**

1. What is the correct amount of cash that should be on hand for deposit on November 30, 2024?
   a. P 23,069 b. P 18,972 c. P 22,569 d. P 22,069
2. How much was stolen by the cashier?
   a. P 3,597 b. P 3,097 c. P 4,097 d. P 0
3. What is the adjusted cash balance as of November 30, 2024?
   a. P 95,008 b. P 91,411 c. P 94,008 d. P 87,814

Problem 7

You are auditing general cash for the DEF Co. for the fiscal year ended July 31, 2024. The client has not prepared the July 31 bank reconciliation. After a brief discussion with the owner, you agree to prepare the reconciliation, with assistance from one of DEF Co.'s clerks. You obtain the following information:

	General ledger	Bank statement
Beginning balance	P 46,110	P 57,530
Deposits		250,560
Cash receipts journal	254,560	
Checks cleared		(236,150)
Cash disbursements journal	(218,110)	
July bank service charge		(870)
Note paid directly		(61,000)
NSF check		(3,110)
Ending balance	**P 82,560**	**P 6,960**

June 30 Bank Reconciliation
Information in General Ledger and Bank Statement

Balance per bank	P 57,530
Deposits in transit	6,000
Outstanding checks	17,420
Balance per books	46,110

Additional information obtained is:

1) Checks clearing that were outstanding on June 30 totaled P16,920
2) Checks clearing that were recorded in the July disbursements journal totaled P204, 670.
3) A check for P10,600 cleared the bank, but had not been recorded the cash disbursements journal. It was for an acquisition of inventory. DEF Co. uses the periodic inventory method.
4) A check for P3,960 was charged to DEF Co. but had been written on a different company's bank account.
5) Deposits included P6,000 from June and P244,560 for July.

6) The bank charged DEF Co.'s account for a not sufficient fund check totaling P3,110. The credit manager concluded that the customer intentionally closed its account and the owner left the city. The check was turned over to a collection agency.
7) A note for P58,000, plus interest, was paid directly to the bank under an agreement signed four months ago. The note payable was recorded at P58,000 on DEF Co.'s books.

Based on facts given, answer the following:

1. The checks outstanding on June 30 amount to
   a. P 9,980 b. P 10,830 c. P 13,940 d. P 3,340
2. The deposit in transit on June 30 amount to
   a. P 6,890 b. P 10,000 c. P 6,000 d. P 9,110
3. The adjusted cash balance on July 31 is
   a. P 6,980 b. P 10,940 c. P 3,870 d. P 3,020